

Article | 29 September 2026

GERMANY

The German housing market's weakness is showing up everywhere except in prices

Higher mortgage rates are back. Housing affordability is deteriorating. Demand for mortgage loans is weakening. Yet, German house prices continue to edge higher



Aerial view of residential buildings in the Ruhr region of Germany

At first glance, these developments seem contradictory. In reality, rising prices in thinner markets can easily happen, but they also tell the story of a housing market caught between cyclical headwinds and structural shortages. While financing conditions are once again weighing on demand, the chronic lack of housing supply has prevented a more pronounced correction in prices.

Prices tell only half of the story

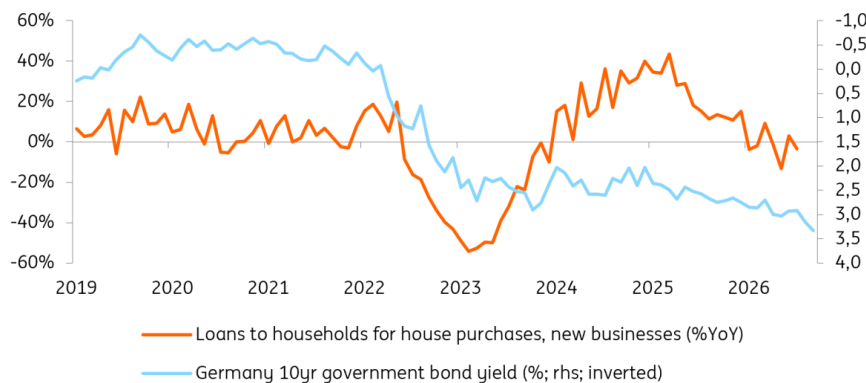
Germany's economy has fared better than expected this year. Despite geopolitical tensions, political uncertainty and another jump in energy prices, [sentiment indicators continue to point towards resilience](#). And the housing market once again is reflecting trends in the broader economy.

According to the German Statistical Office's house price index, house prices rose by 0.3%

quarter-on-quarter in the second quarter of 2026, from a downwardly revised 0.1% QoQ in the first quarter. On the year, house prices were up by 0.6% in the second quarter of 2026. While German house prices remain 8.2% below their 2022 peak, they have recovered by more than 5% from the trough reached in 2024.

At face value, these figures suggest that the housing market has shrugged off another rise in interest rates. However, it's not that simple. In fact, recent mortgage lending data suggests that the 100bp surge in mortgage interest rates is leaving its mark on demand. New business volume for mortgage lending was down by more than 1.5% in the first seven months of the year.

Interest rate development & mortgage demand



Source: LSEG Datastream; ING Economic & Financial Analysis

This once again underlines the sensitivity of housing demand to financing conditions. Affordability remains the key cyclical driver of the German housing market, and affordability has deteriorated lately. Prospective buyers now face a challenging combination of higher property prices, higher financing costs and the lingering effects of weaker real purchasing power, driven by the adverse economic effects of the war in the Middle East. Even relatively small increases in mortgage rates can have a disproportionate effect on borrowing capacity, pushing potential buyers out of the market or forcing them to postpone purchase decisions.

The outlook offers little immediate relief. With capital market yields rising further in August and September, mortgage rates are likely to remain elevated throughout the third quarter of 2026. As a result, a meaningful rebound in housing demand appears unlikely in the near term.

Structural shortage versus cyclical weakness

The main reason why prices are still increasing probably lies in the persistent mismatch between supply and demand. Germany still suffers from a structural housing shortage, while residential construction remains subdued. This structural shortage provides an important floor for house prices. It helps explain why mortgage lending and property prices are currently

sending different signals. Lending activity is already reacting to a deterioration in affordability and higher borrowing costs. Prices, by contrast, continue to benefit from supply constraints and typically adjust only with a considerable delay. And don't forget that prices can increase in smaller volumes.

All in all, Germany's housing market is telling an interesting story of a market under substantial pressure from higher interest rates but still seeing increasing house prices.

Author

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

Franziska Biehl

Senior Economist

Franziska.Marie.Biehl@ing.de

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.